

On the other hand, if the stock has been trending downward for a long time (for months anyway), then the end of the downtrend might be near. The horn probably will not mark the low exactly, but it should be close. Usually, horns appear a month or so before or after the actual turning point.

If price is trending down and you see a horn forming, you might wait before buying the stock, just to be sure price has really turned around. For uptrends, consider buying into the situation immediately since price will only climb away from you.

Stop location. [Table 43.7](#) gives guidance on stop location, so read the discussion associated with it.

[Table 43.11](#) shows special performance features of horns.

[Table 43.11](#) Special Features

Description	Bull Market	Bear Market
Spike height shorter than average, median performance	32%	29%
Spike height taller than average, median performance	30%	16%
Spike height twice the average, median performance	38%	22%
Lower left spike, median performance	30%	21%
Lower right spike, median performance	31%	17%
Median horn difference as percentage of breakout price	1%	1%
Difference > median, median performance	32%	23%
Difference <= median, median performance	30%	18%

Spike height performance. I measured the average height of price spikes over the prior year for each stock and compared it to each horn's spike (so I don't have an average spike height of all stocks to share). The horn spike size was the difference between the highest horn *low* and the lower of the three surrounding weekly lows (that is, the week before the pattern, the